At a time when US economic growth appears 'solid' and the Fed is intent on tightening policy, French budget unrest has only served to soften an already weak EUR/USD. We now think it can stay pressured at the lower end of a 1.10-15 range over the next three to six months. The biggest threat to the dollar probably comes from any new White House policy post-midterms

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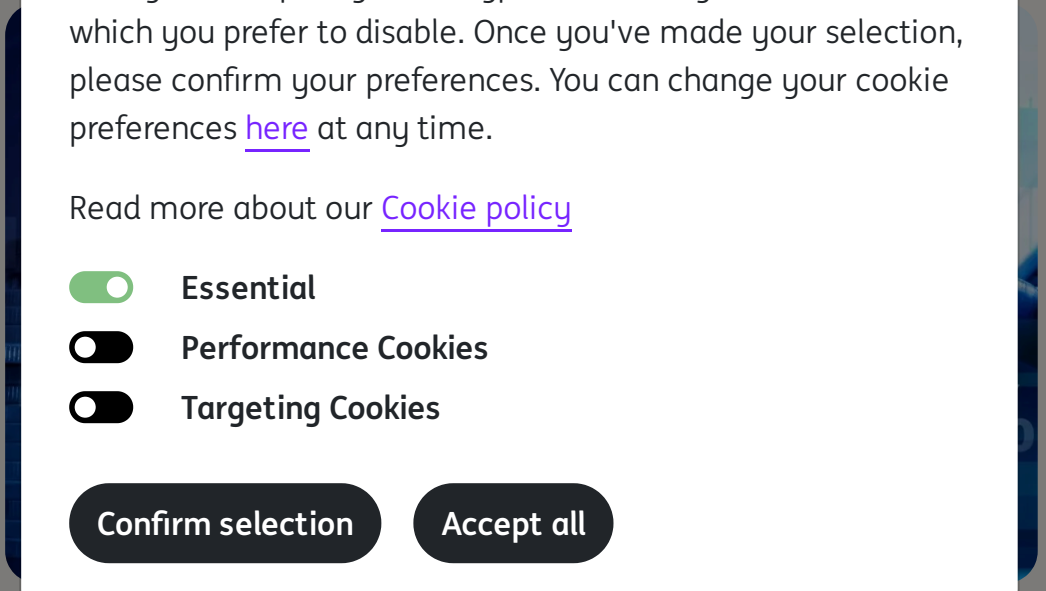
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EUR/USD looks set to stay pressured in a new 1.10-15 range

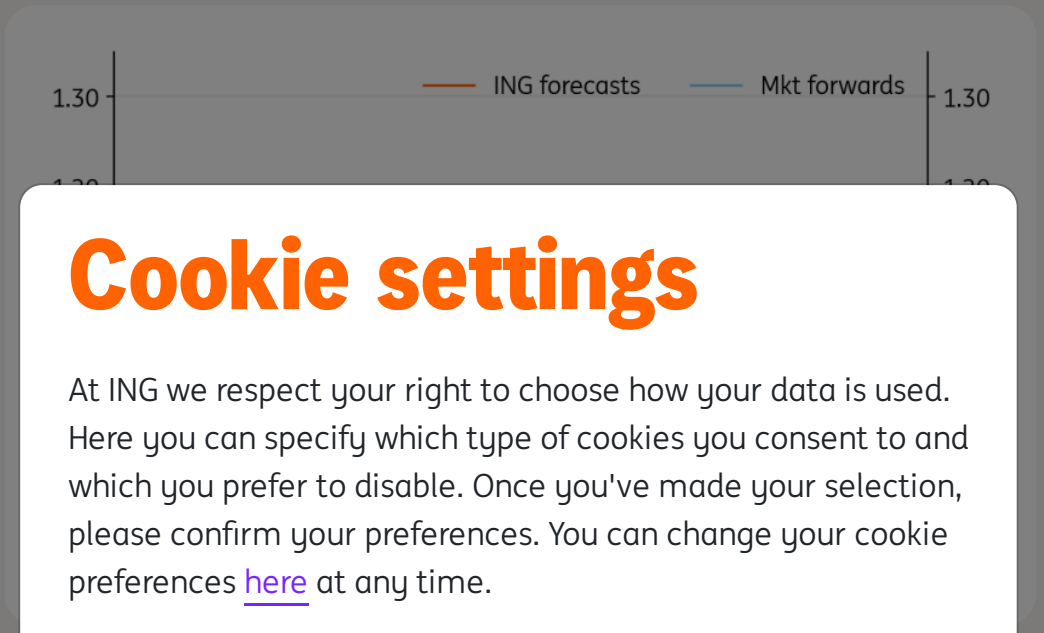
EUR/USD: French debt concern dominates

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	**1.1203**	Neutral	1.13	1.13	1.13	1.16

- A hawkish Federal Reserve hike in September and a continued rise in US yields are pressure testing the global financial system. The most recent asset class to give way is French government debt, where politicians lack the urgency to tackle budget deficits. We see

this more akin to the 2018 Italian debt crisis – again, driven by elections – rather than Greece's selective default in 2012.

- Expect more volatility in the OAT-Bund spread into year-end, but passage of modest fiscal consolidation should prevent a much heavier sell-off in French debt and the euro.
- EUR/USD is set to stay offered in a 1.10-1.15 range. The main risk to the upside stems from uncertain White House policy post the November midterm elections.



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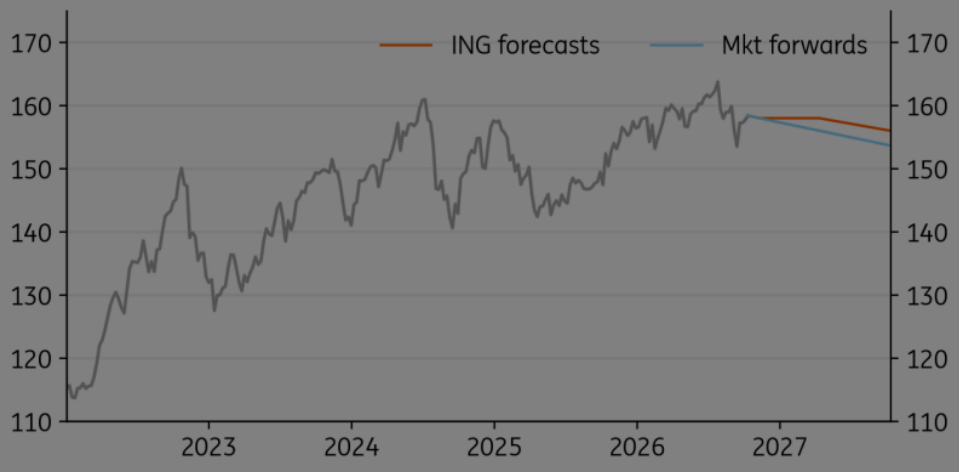
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of Japan hike sent it back to 158. What we've learned this year is that Japan and the US are uncomfortable with the pair above 160. But a move to 150 requires less hawkishness from the Fed and a much higher policy rate in Japan. That may not emerge until 2Q27.

- Domestically, growth is picking up in Japan, but we doubt the BoJ is ready to accelerate its tightening cycle. We think the next hike (to 1.50%) comes in January, or slightly earlier on 18 December.
- 30 October is a big date for USD/JPY. No BoJ hike and no news of GPIF fund re-allocation to Japan could weigh heavily on the yen.



Source: Refinitiv, ING Forecasts

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market sell-off.



Source: Refinitiv, ING Forecasts

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would help the yen.



Source: Refinitiv, ING Forecasts

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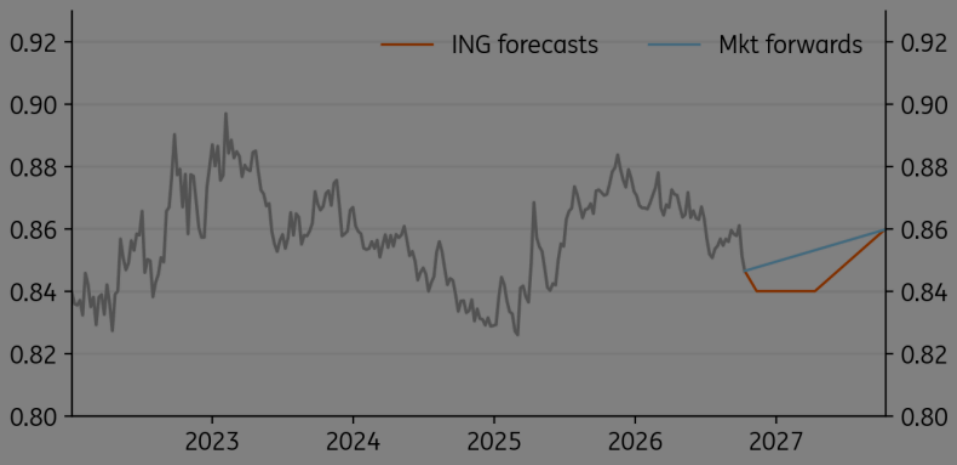
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headlines that are typically welcomed by sterling.



Source: Refinitiv, ING Forecasts

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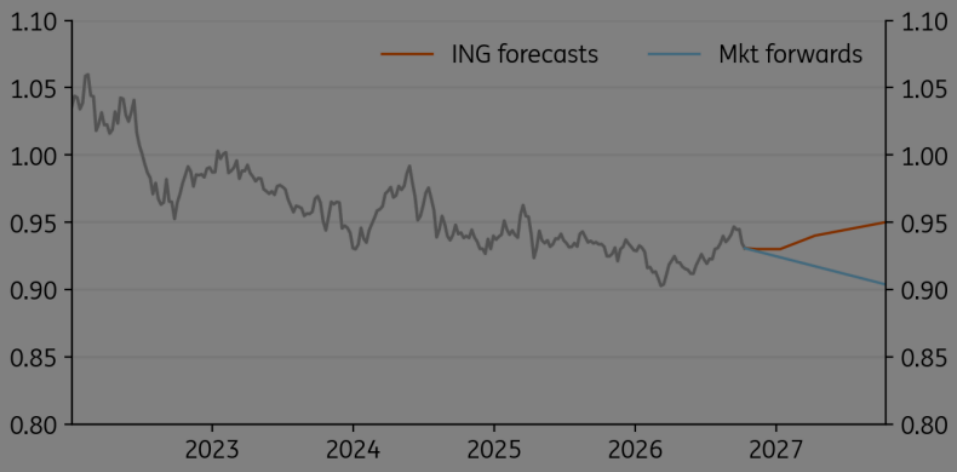
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EUR/CHF again in the 0.90/91 region – though in small amounts.



Source: Refinitiv, ING Forecasts

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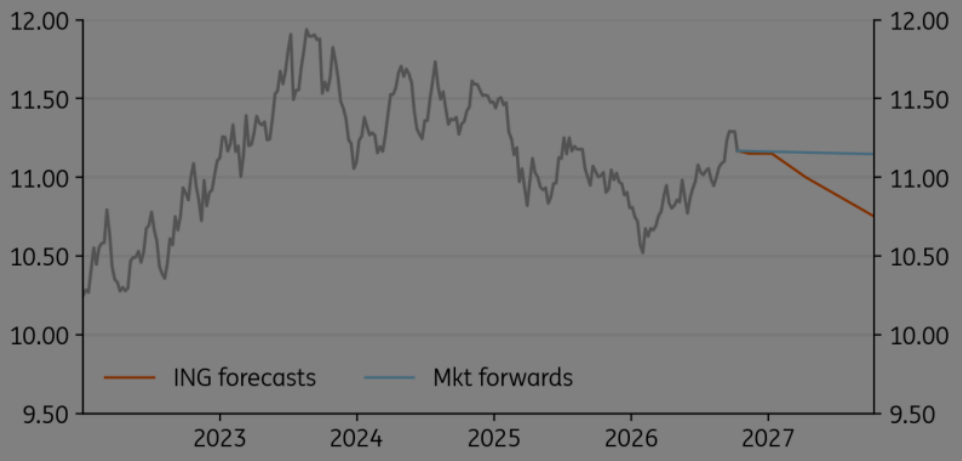
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We retain a bearish EUR/SEK profile, which relies heavily on some improvement in geopolitical conditions and, to some extent, in French risk weighing on the euro for longer.



Source: Refinitiv, ING Forecasts

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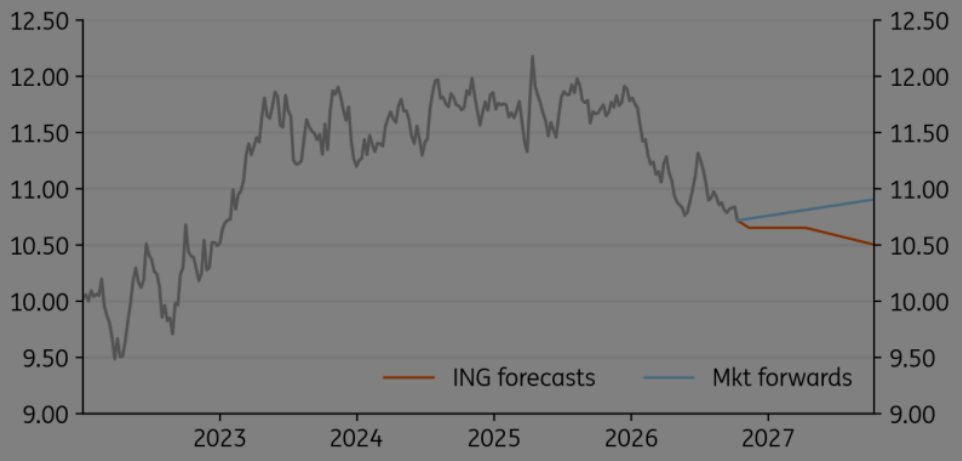
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appears imminent at this stage. EUR/NOK is incidentally being dampened by the soft euro, which is offsetting the poorer liquidity environment.



Source: Refinitiv, ING Forecasts

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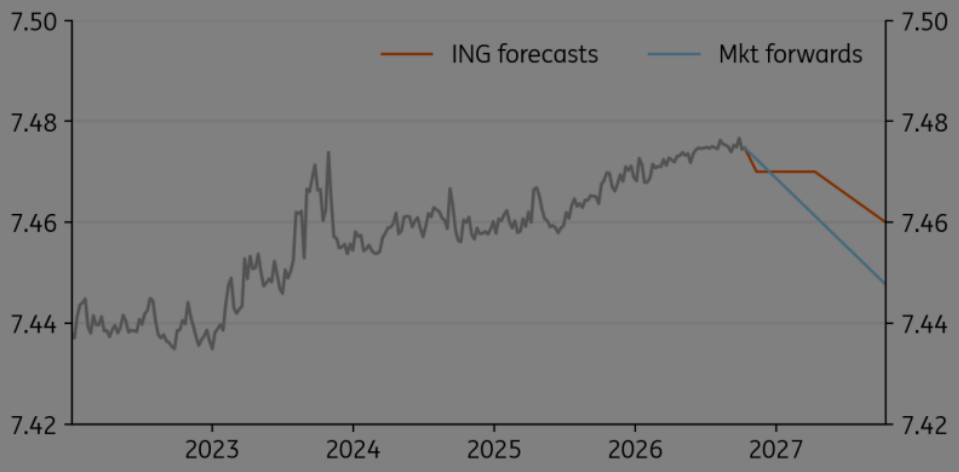
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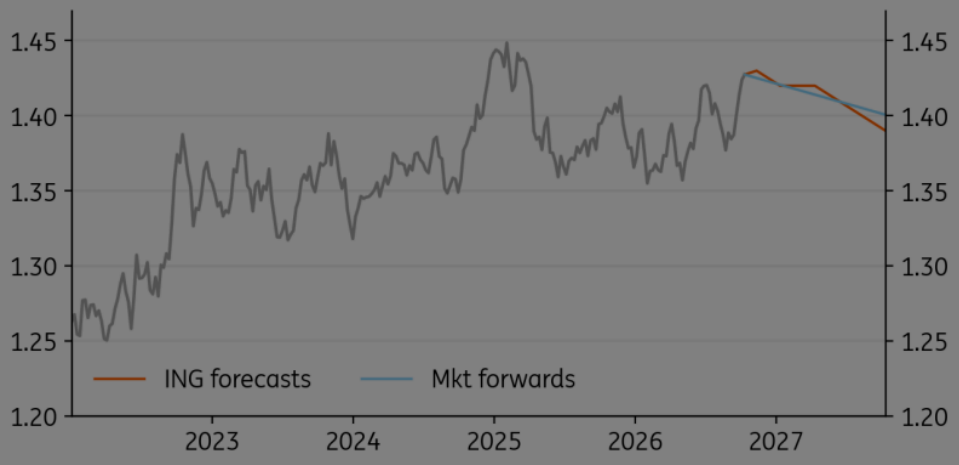
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- US-Canada trade tensions are not playing a major role in CAD trading, but they remain a non-negligible downside risk, either directly or indirectly via a softer economic outlook and less room for rate increases.



Source: Refinitiv, ING Forecasts

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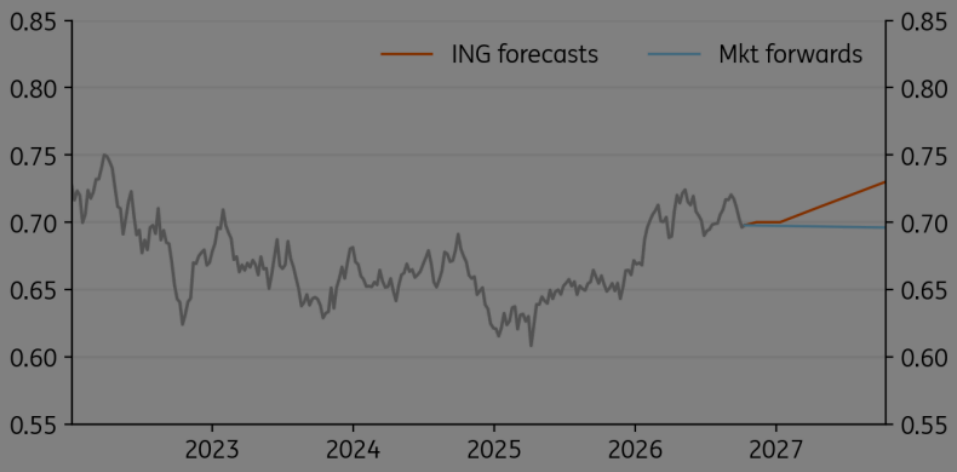
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more realistic target for year-end. We still see strong potential for AUD gains in 2027, as global inflation concerns may finally start to ease.



Source: Refinitiv, ING Forecasts

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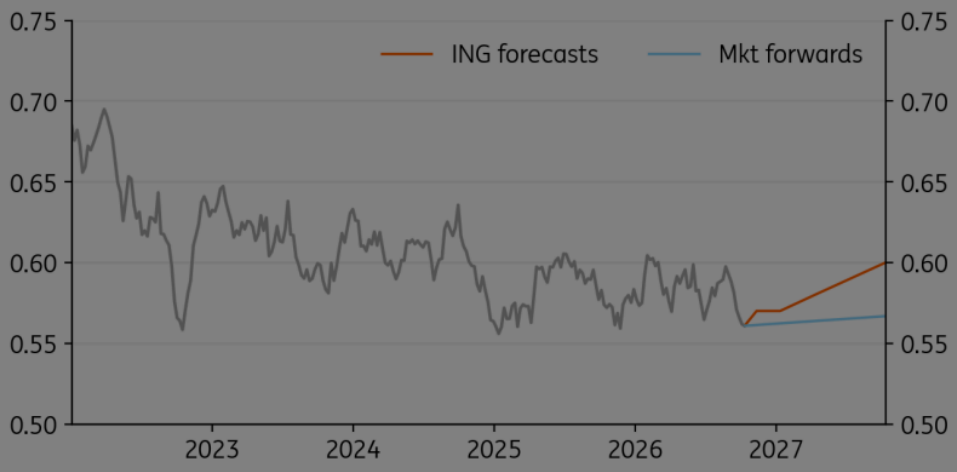
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tuning of the policy message looks likely anyway. We have revised our NZD/USD lower but still see upside potential next year.



Source: Refinitiv, ING Forecasts

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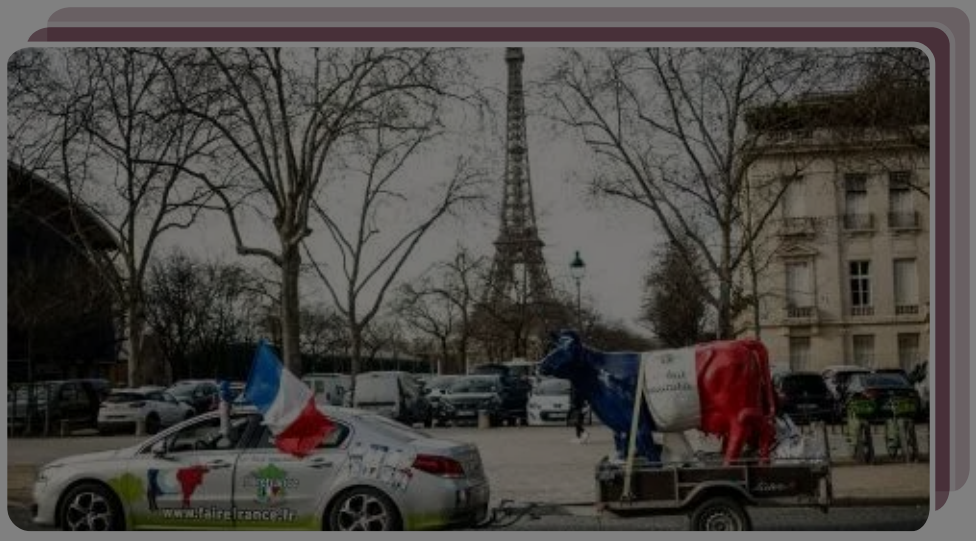
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BUNDLE

YESTERDAY, 10:50

FX Talking: Au revoir, euro bulls

This bundle contains 6 articles

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